

WHAT VALUE SHOULD THE ASSETS BE INSURED FOR?

One of the most confusing things people do is get their assets insured but only for a very small value of it. This means, for an asset that is worth Rs. 20 lac, they will get an insurance cover worth only Rs. 5 lac. This makes no sense since the purpose of insurance is not even served. We are risking the entire dollar to save a few cents and that is never a good idea. It is always a good idea to insure 100% of an asset's worth.

Now, we stop for a while and go to the asset side. We will add the need to insure 100% of the assets tied to financial goals to the Lazy Canvas. For those that are not tied to any financial goal, we need to insure the same for a minimum of 50% of market value, preferably higher.

